



Managing External Environment

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External Environmental Variables

- Natural environment
- Societal environment
- Task environment (Industry Analysis)



Scanning Natural environment:

It includes: **Physical resources; Wildlife; Climate**

These factors form an **ecological system** of interrelated life.

- **Physical Resources:** availability of Raw material, land, fresh water and clean air.
 - Impact of Global warming on natural environment, such as sea level, weather, and climate, are becoming increasingly uncertain and difficult to predict.
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Societal environment – STEEP/ PESTEL Analysis



- **Societal environment**- It is mankind's social system that includes general forces that do not directly touch on the short-run activities of the organization that can, and often do, influence its long-run decisions. These factors affect multiple industries and are as follows:
 - **Economic factors:** that regulate the exchange of materials, money, energy, and information.
 - **Technological factors:** that generate problem-solving inventions
 - **Political-legal factors:** that allocate power and provide constraining and protecting laws and regulations.
 - **Socio-cultural factors:** that regulate the values and customs of society.
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Some important variables in Societal Environment:



TABLE 4–1

Some Important Variables in the Societal Environment

Economic	Technological	Political–Legal	Sociocultural
GDP trends	Total government spending for R&D	Antitrust regulations	Lifestyle changes
Interest rates	Total industry spending for R&D	Environmental protection laws	Career expectations
Money supply	Focus of technological efforts	Global warming legislation	Consumer activism
Inflation rates	Patent protection	Immigration laws	Rate of family formation
Unemployment levels	New products	Tax laws	Growth rate of population
Wage/price controls	New developments in technology transfer from lab to marketplace	Special incentives	Age distribution of population
Devaluation/revaluation	Productivity improvements through automation	Foreign trade regulations	Regional shifts in population
Energy alternatives	Internet availability	Attitudes toward foreign companies	Life expectancies
Energy availability and cost	Telecommunication infrastructure	Laws on hiring and promotion	Birthrates
Disposable and discretionary income	Computer hacking activity	Stability of government	Pension plans
Currency markets		Outsourcing regulation	Health care
Global financial system		Foreign “sweat shops”	Level of education
			Living wage
			Unionization

Identifying External Strategic Factors:

Issues priority matrix- used to identify and analyze developments in the external environment

External strategic factors- key environmental trends that are judged to have both a medium to high **probability of occurrence** and a medium to high **probability of impact on the corporation**

Issues Priority Matrix:

FIGURE 4-2
Issues Priority
Matrix

		Probable Impact on Corporation		
		High	Medium	Low
Probability of Occurrence	High	High Priority	High Priority	Medium Priority
	Medium	High Priority	Medium Priority	Low Priority
	Low	Medium Priority	Low Priority	Low Priority

SOURCE: Reprinted from *Long-Range Planning*, Vol. 17, No. 3, 1984, Campbell, "Foresight Activities in the U.S.A.: Time for a Re-Assessment?" pp. 46. Copyright © 1984 with permission from Elsevier.



Task environment

Task environment- groups that directly affect a corporation and are affected by the corporation

- Government
- Local communities
- Suppliers
- Competitors
- Customers
- Creditors
- Unions
- Special interest groups/trade associations

A corporation's task environment is ***typically the industry within which the firm operates.***



Managing Stakeholder Relationships

- **Stakeholders:** any constituencies in the organization's environment that are affected by an organization's decisions and actions.

Organizational Stakeholders



Exhibit 3-4 identifies some of an organization's most common stakeholders



Thank you

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